

Congress of the United States
Washington, DC 20515

August 3, 2026

The Honorable Robert F. Kennedy, Jr.
Secretary
U.S. Department of Health and Human Services
200 Independence Avenue, SW
Washington, DC 20201

Re: Establishing a National Medicare Advantage Benchmark Floor for Puerto Rico and Other Disproportionately High-Enrollment Regions

Dear Secretary Kennedy:

We write in strong support of our former colleague and now Governor of Puerto Rico's request that the Department of Health and Human Services (HHS) and the Centers for Medicare & Medicaid Services (CMS) address the longstanding funding shortfalls that continue to undermine the Medicare Advantage (MA) program in Puerto Rico and other high-enrollment regions throughout the nation. We appreciate your acknowledgement of the unique challenges faced by Puerto Rico as evidenced by policies included in the CY 2027 MA Rate Notice and urge you to consider additional reforms in future rulemaking. Specifically, we urge CMS to protect the promise of the MA program by exercising its existing statutory authority to administratively establish a national minimum benchmark floor to ensure that MA payment levels in any region, especially high MA-penetration regions, do not fall unreasonably below the national average.

Over 670,000 seniors in Puerto Rico— 96% of the Island's Medicare-eligible population, choose MA plans, representing the highest MA participation rate in the nation. Yet MA benchmarks in Puerto Rico remain approximately 41% below the national average, and 20% below those in the U.S. Virgin Islands, a gap that has been widening annually since 2012. This funding gap is driven in large part by a benchmark methodology that relies on the claims experience of only about 29,000 beneficiaries enrolled in both Parts A and B of Original Medicare on the Island (only 3% of the beneficiaries) — far too small a sample to reflect the cost of a functional Medicare FFS program.

As a result, MA plans in Puerto Rico face structurally inadequate reimbursement levels that weaken provider networks, strain the healthcare system, and contribute to the exodus of healthcare professionals and beneficiaries to the mainland—thereby increasing overall Medicare expenditures for American taxpayers. Most importantly, it places Puerto Rico's seniors at a disadvantage compared to Medicare beneficiaries elsewhere in the United States. Without corrective action, Puerto Rico will continue to face network instability, provider shortages, and reduced access to specialty care.

Puerto Rico's stakeholders are also committed to the highest program integrity standards and work to eliminate waste, fraud and abuse from both Medicare and Medicaid as responsible partners and stewards of federal funds.

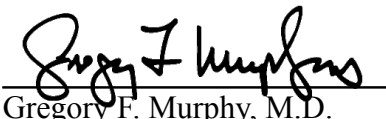
Funding challenges are further compounded by the fact that nearly half of Puerto Rico's MA beneficiaries are dually eligible for Medicare and Medicaid, yet the Island lacks access to key federal low-income support programs available in the States. These include the Medicare Savings Program (MSP), Long-Term Services and Supports (LTSS), Supplemental Security Income (SSI), and the Supplemental Nutrition Assistance Program (SNAP). A stable and adequately funded MA program is essential to help fill these gaps and protect access to high quality care for low-income American seniors residing in Puerto Rico.

To address this funding gap, we respectfully recommend, within all applicable rules and regulations, that CMS establish for 2028 a National Minimum MA Payment Level. Using its existing authority under Section 1876(a)(4) of the Social Security Act, CMS should consider setting a national benchmark floor at 70% of the national average, consistent with benchmark levels currently observed in the U.S. Virgin Islands.

This policy adjustment would stabilize provider payments, strengthen healthcare infrastructure, and support chronic care management for low-income seniors—particularly in Puerto Rico. Correcting this funding gap is not a special benefit, but a necessary reform to promote fairness, quality, and efficiency within the Medicare program from the National perspective.

Thank you for your attention to this important issue and for your continued commitment to ensuring equitable healthcare access for all Americans.

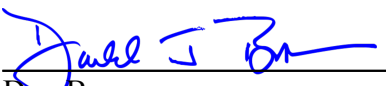
Sincerely,



Gregory F. Murphy, M.D.
Member of Congress



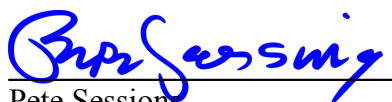
Brian K. Fitzpatrick
Member of Congress



Don Bacon
Member of Congress



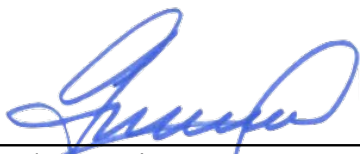
Mike Kelly
Member of Congress



Pete Sessions
Member of Congress



Aumua Amata Radewagen
Member of Congress



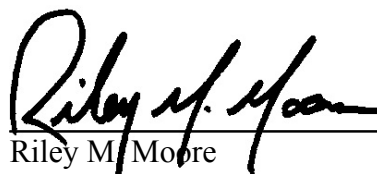
Carlos A. Gimenez
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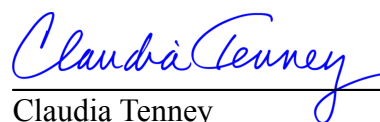
Gus M. Bilirakis
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Claudia Tenney
Member of Congress